

The Wharton School
Venture Capital and Entrepreneurial Management
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Caselette #5 -- Traps

- (1) Equity financing
 - Unlikely VC investors will permit repayment of notes
- (2) Capitalization
 - Option reserve is small for start-ups
- (3) Price per share
 - All shares of single series must have identical rights (e.g. equal prices)
 - Differentiate pricing creates a new class of shares for the founders which gives them de facto veto rights
 - Investors are less likely to agree to issue preferred shares to employees as it will confuse the control and incentives
- (4) Closing in two tranches
 - Does not cover working capital requirements
 - 180 days give late investors unfair opportunity to monitor progress without any risk
- (5) Consideration
 - Promissory note cannot be used as a form of payment
- (6) Dividend payments
 - Series B is an up-round (\$3.5/share whereas Series A was at \$1.00/share), and the cumulative dividend terms proposed by series B investors adversely affects Series A and common shareholders who therefore will never approve it.
 - Cash needs to be retained for working capital requirements so cash dividends will never be declared by the BOD
- (7) Liquidation preferences
 - Super liquidation preference cannot be justified in an up round
 - Series B investors are unlikely to have much higher liquidation preference (3x) than Series A (1x) investors in an “up” round financing (e.g. the price for Series B is greater than the price for Series A)
 - Liquidation preference “overhang” (too much liquidation preference) makes it meaningless for common stock shareholders to participate in a sale or merger scenario
- (8) Conversion
 - “Double dip” by series B in the event of an IPO is unlikely to be approved by Series A (Series B asks to get there liquidation preference including dividends and only then convert and get its prorated share of the proceeds)

These answer guidelines are intended to supplement class discussions, and should be considered in the broader context of all discussions, presentations and materials related to the class. This document has been prepared for the exclusive use of students registered in Professor Amit's Venture Capital and Entrepreneurial Management course.

- 10MM is too small to be a legitimate automatic conversion threshold
 - “All series voting together as single class” gives Series A investors power to force Series B to convert which series investors B will object to.
 - Underwriters are very unlikely to permit any stockholders to include their shares in the registration statement of an IPO
- (9) Anti-dilution
- New investors usually negotiate to have same anti-dilution formula as prior investors
- (10) Protective covenants
- 50% threshold gives Series A investors de facto decision making power. The series B investors will not permit it.
 - The granularity of the protective provisions effectively places operational managerial decisions in the hands of shareholder is unusual and will cause founders/mgmt to object.
- (11) Board composition
- Board seat allocation is not proportionate to the ownership structure in the company
- (12) Preemptive rights
- Usually investors are limited to purchase only their pro rata percentage of newly issued shares which enable the company to bring in new investors to establish fair valuation
- (13) Drag-along rights
- Very harsh term and the legal enforceability is an issue
- (14) Right of first refusal
- Usually used to constrain the sales of stocks by the founders and investors are less likely to be constrained.
- (15) Key person insurance
- Beneficiary should be the company rather than the investors
- (16) Indemnification
- Indemnification of investors is not common
- (17) Exclusivity
- Limits ability of the founders to trigger negotiation dynamics (multiple investors)
- (18) Binding agreement
- Term sheets never should be framed as legally binding